

1-1 Nature of Business and Accounting

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Objective 1 - Describe the nature of business and the role of accounting and ethics in business.

business (An organization in which basic resources (inputs), such as materials and labor, are assembled and processed to provide goods or services (outputs) to customers.)

is an organization in which basic resources (inputs), such as materials and labor, are assembled and processed to provide goods or services (outputs) to customers. Businesses come in all sizes, from a local coffee house to **Starbucks (SBUX)**, which sells over \$15 billion of coffee and related products each year.

The objective of most businesses is to earn a **profit** (The difference between the amounts received from customers for goods or services provided and the amounts paid for the inputs used to provide the goods or services.)

. Profit is the difference between the amounts received from customers for goods or services and the amounts paid for the inputs used to provide the goods or services. This text focuses on businesses operating to earn a profit. However, many of the same concepts and principles also apply to not-for-profit organizations such as hospitals, churches, and government agencies.